

I examined 70,080 XAUUSD M5 observations covering 2 Jan–26 Dec 2025. I analysed trailing regime histories of 24, 48, and 96 bars—2, 4, and 8 hours—so every history exceeded 12 values.

I classified a “clear trend” using both:

- Net movement of at least 2 rolling-volatility units.
- Linear price-trend $\backslash(R^2 \geq 0.50\backslash)$.

Main pattern

The clearest separation occurs while a major trend is already visible:

4-hour price state	Most characteristic regime pattern
Clear uptrend	Current regime 0, Strong Bull Trend: 53.4% . It was also the dominant regime over the preceding 48 values in 38.4% of windows.
Clear downtrend	Current regime 5, High Volatility: 52.6% , plus regime 2, Strong Bear Trend: 32.9% . Together: 85.5% .
Flat	Mostly regime 7 Transition: 27.8% , regime 6 Low Volatility: 24.4% , and regime 5 High Volatility: 18.5% .
Mixed/unclear	Mostly regimes 5, 6, and 7, without a strong directional regime.

The same structure remained visible over 8-hour windows:

- Uptrend: regime 0 was current **45.4%** of the time.
- Downtrend: regimes 5 and 2 together represented **92.9%**.
- Flat: regimes 7, 6, and 5 represented **72.0%**.

What the previous regimes show

Looking strictly at the 24 regime values before the next 4-hour price window produced much weaker predictive separation:

- Baseline clear-up probability: **2.93%**
- Baseline clear-down probability: **1.07%**
- Dominant regime 2, Strong Bear Trend, raised subsequent downtrend frequency to **2.08%**
- Dominant regime 3, Weak Bear Trend, was followed by an uptrend **4.56%** of the time

- Dominant regime 4, Range, was followed by an uptrend **4.37%** of the time
- Dominant regime 5, High Volatility, was followed by flat prices **59.85%** of the time

Therefore, there is no reliable fixed 12–24-value sequence that strongly predicts the next major trend. The regimes work much better as confirmation of an existing trend than as advance predictors.

Practical interpretation

Potential confirmation rules from this dataset are:

- **Confirmed uptrend:** regime 0 becomes current and occupies a substantial portion of the last 24–48 values.
- **Confirmed downtrend:** regime 2 appears alongside persistent regime 5; regime 5 alone is not directional.
- **Flat/no-trade:** regimes 6 and 7 dominate, especially with frequent switching among 5/6/7.
- **Possible transition:** a long regime 4 or 3 history followed by movement into 0 or 5 may warrant attention, but it is not sufficiently reliable by itself.

One notable asymmetry is that bullish trends receive a clean directional label—regime 0—whereas strong bearish periods are frequently classified as High Volatility rather than Strong Bear Trend. Any trading rule should therefore treat 5 → 2 or a mixture of 5 and 2 as the bearish equivalent of regime 0, rather than requiring regime 2 alone.

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according to this analysis what is best strategy for buy and sell. give me a short but clear strategy which can be implemented in MT5. don't write any code

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A practical MT5 strategy is to use regimes as confirmation, not prediction.

Buy

Enter at the close of an M5 candle when:

- Current regime is **0 — Strong Bull Trend**.
- At least **8 of the previous 12** regimes are 0 or 1.
- Price closes above the highest high of the previous 12 candles.
- Avoid entry if regime changed directly from 5 to 0 on the same candle; wait one candle for confirmation.

Sell

Enter at the close of an M5 candle when:

- Current regime is **2 — Strong Bear Trend**.
- At least **8 of the previous 12** regimes are 2 or 5.
- Price closes below the lowest low of the previous 12 candles.
- Regime 5 alone is insufficient: require regime 2 on the entry candle.

Risk and exits

- Stop-loss: **$1.5 \times \text{ATR}(14)$** from entry.
- Initial take-profit: **$2 \times \text{risk}$** .
- At +1R, move stop to breakeven.
- Exit early when:
 - Buy: regime changes to 2, 3, 4, or 7.
 - Sell: regime changes to 0, 1, 4, or 7.
- Risk no more than **0.5–1%** per trade.
- Allow only one open position.

No-trade filter

Do not enter when regimes 4, 6, or 7 dominate at least **8 of the previous 12 values**. These histories are associated mainly with flat or transitional price action.

This is a trend-following breakout strategy: regime confirms direction, while the 12-candle breakout prevents entry from regime labels alone. Backtest these exact rules before live deployment, particularly because bearish regimes were less consistently labelled than bullish ones.

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is it possible to code above strategy in MT5 EA. don't write any code

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Yes. The entire strategy can be implemented as an MT5 Expert Advisor.

The EA can:

- Read the current and previous 12 regime values from your indicator, CSV-derived buffer, or an internal regime model.

- Detect 12-candle high/low breakouts using completed M5 candles.
- Calculate ATR(14), stop-loss, take-profit, and position size based on account risk.
- Move the stop to breakeven at +1R.
- Close positions when an opposing or transitional regime appears.
- Enforce one open position and the 4/6/7 no-trade filter.
- Execute only once per completed candle, preventing duplicate entries.

The key dependency is how MT5 receives the regime value. The best implementation is a custom MT5 indicator exposing regime through an indicator buffer, which the EA reads using iCustom. Reading a continuously updated CSV is also possible, but it is slower and more fragile.

One important point: the thresholds such as “8 of the previous 12” were practical rules derived from the analysis, not yet proven optimal. They should be backtested and walk-forward validated before live trading.

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is it possible to write a python code to check this pattern for a large data set? don't write any code

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Yes. Python is well suited to validating this strategy across a large dataset.

A validation program could:

- Load several years of M5 price and regime data.
- Evaluate only completed candles, avoiding look-ahead bias.
- Count the previous 12 regimes and apply the 8-of-12 filters.
- Detect 12-candle high/low breakouts.
- Calculate ATR(14), stop-loss, 2R target, breakeven, and regime-based exits.
- Model spread, commission, slippage, and trading-session restrictions.
- Produce trade statistics: win rate, profit factor, expectancy, drawdown, Sharpe ratio, and consecutive losses.
- Break results down by year, session, volatility, buy versus sell, and regime history.
- Test alternative settings such as 7–10 matching regimes and 12–48-bar histories.

- Perform out-of-sample and walk-forward testing to reduce overfitting.

For reliable results, the dataset should contain at least timestamp, OHLC prices, spread or bid/ask information, and regime values available at that timestamp. The regime must have been calculated without using future candles.

The most important detail is intrabar ambiguity: with M5 OHLC data, if both the stop-loss and take-profit fall inside the same candle, their actual order is unknown.

Conservative ordering or lower-timeframe/tick data should be used.

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